

PERSONAL CONNECTION: DON'T AVOID YOUR LOANS

From 2009 to 2014 I lived abroad, spending a year in South Korea and just about four years in Taiwan. Before this, I had never left the U.S., so the experience was invaluable for a country bumpkin like myself.

While I was in Korea, I paid my student loans every month. While I was in Taiwan, I stopped paying my loans. Perhaps I thought they would forget about me because I was on the other side of the largest ocean on planet Earth. I learned, however, that lenders have incredible memories, and that they had not lost track of me or the money I owed them.

Every time I came back for a visit, my lenders would blow up my phone hoping to speak with me about the money I owed them. Being a fool, I did the worst possible thing you can do in that situation: I ignored their calls. Avoiding the problem and ignoring their calls took my problems from bad to disastrous. Ignoring your debt is like breaking your leg, recognizing you have a broken leg, and saying, "It will probably just heal on its own if I ignore it and keep walking around on it." Had I answered, I could have requested lower monthly payments, asked for a couple of months of relief while I got back on my feet, and not had my credit destroyed.

My approach to this problem ruined my credit for seven years. The mistakes I made and the blemishes to my credit history have just recently been taken off my credit report, and my credit score has skyrocketed. This happened just in time, because I am hoping to buy a house soon. If those mistakes were still on my credit report, I would have a much lower credit score, and would consequently be offered a higher and more costly interest rate. Again,